higher money supply for investment but the Government's monetary policy proposes to contain inflation below 6 per cent with the help of tighter monetary policy.

Decadal inflation in India looks comparatively normal with reference to many developing economies.[45] But it has sporadic incidences of double-digit tendencies mainly due to supply-side shortfalls caused by droughts (monsoon failures), price rise of crude oil in the international market or fund diversions due to wars (the Chinese war of 1962 and the Pakistan wars of 1965–66 and 1971). The decadal inflation in India has been as given below:[46]

(i) *During 1950s:* remained at 1.7 per cent.

(ii) *During 1960s:* remained at 6.4 per cent.

(iii) *During 1970s:* remained at 9.0 per cent.

(iv) *During 1980s:* remained at 8.0 per cent.

(v) *During 1990s:* remained at 9.5 per cent (though it reached 0.5 per cent by the fourth quarter of the fiscal 1998–99)

(vi) *During 2000–01 to 2012–13:* remained at 4.7 per cent (upto August 2007) with the fiscal 2002–03 at 3.4 per cent (the lowest) and the fiscal 2004–05 at 6.5 per cent (the highest).But the years after 2008 has been tough on the front of inflation. Headline year-on-year WPI inflation after remaining persistently high in 2010, 2011 and 2012. Though it did show signs of moderation by late 2012, financial year 2012-13 started with an inflation of 7.5 per cent increasing to 8.07 per cent by **December 2012**. Some of the contributory factors[47] for the higher inflation during the period were:

(a) Higher primary articles prices driven by vegetables, eggs, meat, and fish due to changing dietary pattern of consumers;

(b) Increasing global commodity prices especially metal and chemicals;

(c) High international prices of crude oil.

Economic Survey 2012-13 projects a moderate rate of inflation of 6-6.5 per cent during the fiscal 2013-14 with expected short-term shocks due to –